

STAT 20000 Chapter 20

The Chance Error in a Sample Percentage

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To know how close the sample percentage is from the population percentage, we need a **box model**.

A Box Model



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To sum up,

population = box

sample = tickets drawn

Box Model for a SRS

In general, when interested in percentage of subjects in a population with some favored property, a SRS drawn from the population can be analyzed with a box model:

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= $\frac{\text{sum of draws}}{\# \text{ of draws}} \times 100\%$
- ▶ Average of the box = fraction of 1's in the box
- ▶ SD of the box =

$$\sqrt{(\text{fraction of } \text{1's in the box}) \times (\text{fraction of } \text{0's in the box})}$$

The Expected Value for the Sample Percentage

Recall

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The **expected value** for the **sample percentage** is thus

$$\begin{aligned} & \frac{(\# \text{ of draws})(\text{Average of box})}{\# \text{ of draws}} \times 100\% \\ &= \text{Average of box} \times 100\% \\ &= (\text{fraction of } \boxed{1}\text{'s in the box}) \times 100\% \\ &= \boxed{\text{population percentage}} \end{aligned}$$

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A larger population does NOT require a larger sample!

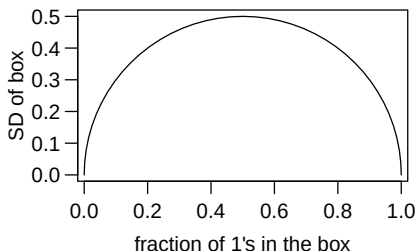
SE for the Sample Percentage (Cont'd)

Recall

$$\text{SD of 0-1 box} = \sqrt{p(1-p)},$$

where

p = fraction of 1's in the box.



The largest the SD of a 0–1 box could be is _____.

So for a SRS of size 2,500, the largest the SE for the sample percentage could be is _____ = 1%.

For a SRS of size a few thousand, the sample percentage is likely to be within a few percent of the population percentage.

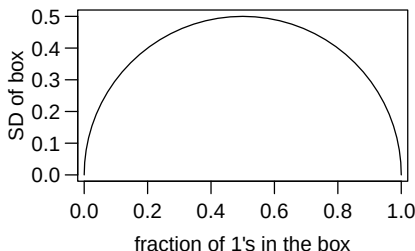
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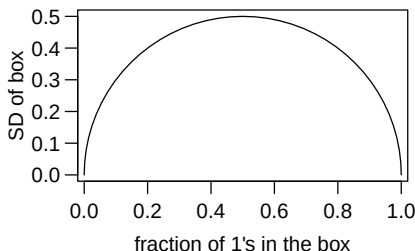
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So for a SRS of size 2,500, the largest the SE for the sample percentage could be is $0.5/\sqrt{2500} = 0.01$ = 1%.

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Normal Approximation

For reasonably large samples, the normal approximation can be used, just as for the sum of the draws.

In particular, the difference between the sample and population percentage is

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Warning: The results (box model, EV, SE, normal approximation) so far are for simple random samples only, NOT applicable to other sampling schemes.

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$$\left(\begin{array}{c} \text{SE when drawing} \\ \text{w/o replacement} \end{array} \right) = \left(\begin{array}{c} \text{correction} \\ \text{factor} \end{array} \right) \times \left(\begin{array}{c} \text{SE when drawing} \\ \text{w/ replacement} \end{array} \right)$$

where the correction factor is

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- ▶ The “w/o replacement” SE is smaller since sampling w/o replacement is more efficient. Drawing a ticket a 2nd time tells us nothing new about the box.

Example

You have hired a polling organization to take a SRS from a box of 100,000 tickets, and estimate the percentage of 1's in the box. Unknown to them, the box contains 50% 0's and 50% 1's. How far off should you expect them to be if they draw:

- (a) 2,500 (b) 25,000 (c) 100,000 tickets?

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$$(c) \underline{\text{0}}\% \text{ since all tickets are drawn}$$

Example: Using the Normal Curve

A town has 30000 registered voters, of whom 50% are known to be Democrats. A SRS of 1600 registered voters will be drawn from the population.

Q1: The percentage of Democrats in the sample will be around _____ give or take _____ or so.

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- ▶ correction factor $\approx \sqrt{1 - 1600/30000} = 0.973 \approx 1$
- ▶ $SU = \frac{51 - 50}{1.25} = 0.8$. Chance = 57.63%

Summary

For the sample percentage of a SRS drawn from a population,

- ▶ expected value = population percentage
- ▶ $SE = \left(\begin{matrix} \text{correction} \\ \text{factor} \end{matrix} \right) \times \frac{\sqrt{p(1-p)}}{\sqrt{\text{sample size}}} \times 100\%$, where
 $p = (\text{fraction of } \boxed{1}\text{'s in the box})$, and the correction factor is
$$\sqrt{(\text{population size} - \text{sample size}) / (\text{population size} - 1)}.$$

- ▶ When the sample size is small relative to the population size, the correction factor is nearly 1 and can be ignored.
- ▶ The normal approximation can be used to figure chances about a sample percentage; the conversion to standard units is done as

$$z = \frac{\text{sample percentage} - \text{population percentage}}{\text{SE for the sample percentage}}.$$

The normal approximation can be trusted if the sample size is reasonably large.